Circular KYC/2024/07 - Customer Identification Policy

1. Applicability

1.1 This circular applies to all regulated entities onboarding individual customers after 1 April 2024.

2. Identity Verification

2.1 A regulated entity shall verify the identity of every customer using an officially valid document before opening an account.

2.2 Verification must be completed within 15 days of account opening, failing which the account shall be restricted.

2.3 Biometric authentication is additionally required for accounts expected to exceed the high value limit.

2.4 The minimum threshold for enhanced due diligence on cash deposits is Rs. 5,00,000 in a financial year.

3. Record Keeping

3.1 Identification records shall be preserved for ten years after the end of the business relationship.

4. Penalties

4.1 Non-compliance shall attract a penalty of 4% of the outstanding amount per month.

4.2 Repeated violations may be reported to the supervisory authority for further action.

5. Customer Grievances

5.1 Every regulated entity must acknowledge a KYC related complaint within 3 working days.